(b) Keep a provision for bad and doubtful debts @ 10% on sundry debtors.

You are required to pass necessary adjusting entries and show how these items will appear in profit and loss account and balance sheet.

(**Answer**: Profit and loss account: ₹ 5,700 (Dr.),
Balance of sundry debtors in balance sheet: ₹ 42,300)

8. The following are the extracts from the trial balance.

Particulars	Debit ₹	Credit ₹
Sundry debtors	50,000	
Discount on debtors	2,000	
Bad debts	3,000	

Additional information:

(a) Create a provision for doubtful debts @ 10% on sundry debtors.

(b) Create a provision for discount on debtors @ 5% on sundry debtors.

You are required to pass necessary adjusting entries and show how these items will appear in the final accounts.

(**Answer**: Profit and loss account: Provision for bad and doubtful debts ₹ 8,000 (Dr.),
Provision for discount on debtors: ₹ 4,250 (Dr.);
Balance of sundry debtors in balance sheet: ₹ 42,750).

9. Prepare trading account of Archana for the year ending 31st December, 2016 from the following information.

Debit balance	₹	Credit balance	₹
Opening stock	80,000	Purchases returns	10,000
Purchases	8,60,000	Sales returns	3,16,000
Freight inwards	52,000	Import duty on purchases	30,000
Wages	24,000	Sales	14,40,000

Adjustments:

(a) Closing stock ₹ 1,00,000 (b) Wages outstanding ₹ 12,000

(c) Freight inwards paid in advance ₹ 5,000

(**Answer**: Gross Profit: ₹ 1,81,000)

10. Prepare profit and loss account of Manoj for the year ending on 31st March, 2016

Particulars	₹	Particulars	₹
Gross profit	25,000	Travelling expenses	500
Salaries	5,600	Stationery	75
Insurance	200	Rent	650
Discount allowed	400	Interest on loan	225
Discount received	300	Repairs	125
Commission received	100	Office expenses	55
Advertisement	450	General expenses	875
Printing charges	375	Postage	175

Adjustments:

(i) Salary outstanding ₹ 400 (ii) Rent paid in advance ₹ 50

(iii) Commission receivable ₹ 100

(**Answer**: Net profit: ₹ 15,445)

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